

Entering into a new product cycle

Strong sales growth driven by networking, industrial and auto is transforming SG Micro into a pan-AI Semi play

Action: maintain Buy and increase TP to street-high CNY173

We have turned positive on SG Micro since Aug 2024, as TI (TXN US, NR) has become more conservative on capex for future capacity expansion due to a weakening analog IC demand (“TI’s future capex is more flexible, upgrade to Buy”). Although the analog IC cycle has bottomed out since then, it takes a long time to digest inventories and excess capacities. However, as AI demand continues to surge, we note there is a structural change in SG Micro’s sales breakdown – sales exposure to consumer electronics has decreased rapidly in the past two quarters, while sales of optical transceivers are rising significantly. As a result, we raise 2026-27F earnings by 8-39%, with a new TP of CNY173 based on 80x 2027F EPS of CNY2.16 (vs 70x 2026F of EPS CNY1.29 previously). The stock is currently trading at 47x 2027F EPS.

Analog IC demand in networking application is rapidly rising with geopolitical risk

Optical transceiver demand has been surging, which could contribute ~USD5-10 plus dollar analog IC content market per transceiver, according to our estimates (Fig. 1). Initially, the analog ICs in optical transceivers were mainly supplied by global leaders (TI, MPS [MPWR US, NR] and Renesas [6723 JP, Buy]), but rising demand has pushed Chinese companies to manufacture optical transceivers. As well, there has been a rising analog IC localization demand trend in China since late-2025. Chinese analog IC companies have not taken long to dominate the 400G/800G optical transceiver market, while global leaders are moving to 1.6T/3.2T specs. Among the Chinese analog IC companies, SG Micro is currently the largest player in terms of sales, followed by 3 Peak (688536 CH, Buy) and Silergy (6415 TT, Buy), in our view (Fig. 2-3). However, news *report* stated that the Trump administration is drafting a ban on US imports of Chinese data center components (likely including optical transceivers), and we note this potential risk.

Strong 2Q26 results and 2026F outlook likely ahead of market expectations driven by networking, industrial and auto applications

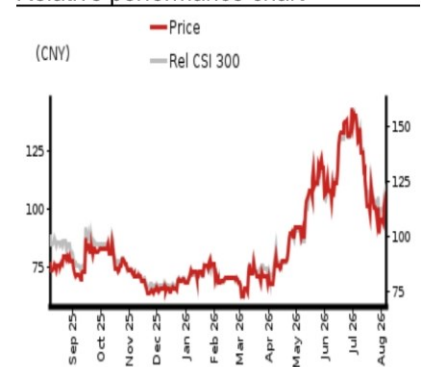
SG Micro’s sales breakdown has structurally changed since late-2025 due to its rising sales exposure to non-consumer electronics, including networking, industrial and auto applications, which now account for close to 70% of total sales vs around 50% in 2025 (Fig. 4). We also think that management is turning more positive on the business outlook, which could lead to strong sales and earnings momentum in 2Q26F and 2026F. We expect SG Micro’s 2026F sales and earnings to be ~10% higher than current market expectations.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	3,898	4,850	5,494	5,674	7,275	0	9,094
Reported net profit (mn)	547	798	864	965	1,342	0	1,956
Normalised net profit (mn)	547	798	864	965	1,342	0	1,956
FD normalised EPS	88.00c	1.28	1.39	1.55	2.16		3.15
FD norm. EPS growth (%)	-16.7	50.0	58.2	20.9	55.3		45.8
FD normalised P/E (x)	120.7	–	76.3	–	49.1	–	33.7
EV/EBITDA (x)	95.0	–	57.5	–	37.1	–	25.5
Price/book (x)	12.3	–	10.8	–	9.0	–	7.2
Dividend yield (%)	0.2	–	0.2	–	0.2	–	0.2
ROE (%)	11.0	14.8	15.3	15.7	20.3		24.1
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash		net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Increased from CNY 90.00	CNY 173.00
Closing price 6 August 2026	CNY 106.24
Implied upside	+62.8%
Market Cap (USD mn)	9,813.2
ADT (USD mn)	389.3

Relative performance chart



Source: LSEG, Nomura

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Key data on SG Micro

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-21.9	20.1	37.6	M cap (USDmn)	9,813.2
Absolute (USD)	-21.4	21.3	46.6	Free float (%)	53.8
Rel to CSI 300	-17.9	24.7	24.5	3-mth ADT (USDmn)	389.3

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	3,347	3,898	5,494	7,275	9,094
Cost of goods sold	-1,624	-1,912	-2,650	-3,509	-4,387
Gross profit	1,723	1,986	2,844	3,766	4,707
SG&A	-1,223	-1,442	-1,811	-2,143	-2,350
Employee share expense					
Operating profit	499	543	1,033	1,622	2,357
EBITDA	595	663	1,171	1,777	2,527
Depreciation	-77	-94	-101	-111	-119
Amortisation	-19	-26	-36	-43	-51
EBIT	499	543	1,033	1,622	2,357
Net interest expense	35	9	-3	-4	-6
Associates & JCEs	31	26	-35	-35	-35
Other income	-81	-28	-14	-54	-81
Earnings before tax	485	550	981	1,530	2,236
Income tax	6	-16	-127	-199	-291
Net profit after tax	491	534	853	1,331	1,945
Minority interests	9	13	11	11	11
Other items					
Preferred dividends					
Normalised NPAT	500	547	864	1,342	1,956
Extraordinary items					
Reported NPAT	500	547	864	1,342	1,956
Dividends	-48	-98	-98	-98	-98
Transfer to reserves	453	449	766	1,244	1,858

Valuations and ratios

Reported P/E (x)	100.5	120.7	76.3	49.1	33.7
Normalised P/E (x)	100.5	120.7	76.3	49.1	33.7
FD normalised P/E (x)	100.5	120.7	76.3	49.1	33.7
Dividend yield (%)	0.1	0.2	0.2	0.2	0.2
Price/cashflow (x)	91.5	141.6	92.3	55.2	37.6
Price/book (x)	10.9	12.3	10.8	9.0	7.2
EV/EBITDA (x)	104.6	95.0	57.5	37.1	25.5
EV/EBIT (x)	123.5	115.0	65.5	40.7	27.3
Gross margin (%)	51.5	50.9	51.8	51.8	51.8
EBITDA margin (%)	17.8	17.0	21.3	24.4	27.8
EBIT margin (%)	14.9	13.9	18.8	22.3	25.9
Net margin (%)	14.9	14.0	15.7	18.4	21.5
Effective tax rate (%)	-1.3	2.8	13.0	13.0	13.0
Dividend payout (%)	9.5	18.0	11.4	7.3	5.0
ROE (%)	11.8	11.0	15.3	20.3	24.1
ROA (pretax %)	12.7	10.6	16.2	22.8	29.8
Growth (%)					
Revenue	28.0	16.5	40.9	32.4	25.0
EBITDA	78.5	11.5	76.5	51.8	42.2
Normalised EPS	78.2	-16.7	58.2	55.3	45.8
Normalised FDEPS	78.2	-16.7	58.2	55.3	45.8

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	595	663	1,171	1,777	2,527
Change in working capital	-720	-463	-276	-291	-362
Other operating cashflow	674	266	-180	-291	-412
Cashflow from operations	549	466	714	1,195	1,753
Capital expenditure	-240	-256	-282	-282	-282
Free cashflow	309	210	432	912	1,470
Reduction in investments	-85	-47	0	0	0
Net acquisitions					
Dec in other LT assets	2	0	0	0	
Inc in other LT liabilities	25	59	0	0	0
Adjustments	-963	-222	-149	-118	-112
CF after investing acts	-714	2	283	794	1,358
Cash dividends	-48	-98	-98	-98	-98
Equity issue	215	227	0	0	0
Debt issue	71	300	0	0	0
Convertible debt issue					
Others	-13	-63	-36	-36	-36
CF from financial acts	224	366	-134	-134	-134
Net cashflow	-490	368	148	660	1,224
Beginning cash	1,303	813	1,181	1,329	1,989
Ending cash	813	1,181	1,329	1,989	3,213
Ending net debt	-723	-771	-920	-1,579	-2,803

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	813	1,181	1,329	1,989	3,213
Marketable securities					
Accounts receivable	250	379	481	589	725
Inventories	1,165	1,448	1,849	2,277	2,811
Other current assets	1,463	1,590	1,590	1,590	1,590
Total current assets	3,691	4,598	5,249	6,445	8,340
LT investments	508	555	555	555	555
Fixed assets	546	539	599	642	671
Goodwill					
Other intangible assets	144	399	485	570	653
Other LT assets	882	862	1,011	1,129	1,241
Total assets	5,771	6,954	7,899	9,341	11,461
Short-term debt	56	342	342	342	342
Accounts payable	693	759	980	1,216	1,512
Other current liabilities	120	131	136	145	159
Total current liabilities	869	1,232	1,458	1,704	2,013
Long-term debt	34	67	67	67	67
Convertible debt					
Other LT liabilities	269	327	327	327	327
Total liabilities	1,172	1,627	1,853	2,099	2,408
Minority interest	-10	33	33	33	33
Preferred stock	0	0	0	0	0
Common stock	473	620	620	620	620
Retained earnings	2,715	3,167	3,922	5,154	7,001
Proposed dividends					
Other equity and reserves	1,421	1,507	1,471	1,435	1,399
Total shareholders' equity	4,609	5,294	6,013	7,210	9,021
Total equity & liabilities	5,771	6,954	7,899	9,341	11,461

Liquidity (x)

Current ratio	4.25	3.73	3.60	3.78	4.14
Interest cover	-	-	330.2	450.6	428.2

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	1.06	88.00c	1.39	2.16	3.15
Norm EPS (CNY)	1.06	88.00c	1.39	2.16	3.15
FD norm EPS (CNY)	1.06	88.00c	1.39	2.16	3.15
BVPS (CNY)	9.78	8.61	9.80	11.75	14.70
DPS (CNY)	0.10	0.16	0.16	0.16	0.16

Activity (days)

Days receivable	23.5	29.4	28.5	26.8	26.5
Days inventory	232.1	249.4	227.0	214.5	212.3
Days payable	136.9	138.5	119.8	114.2	113.8
Cash cycle	118.7	140.3	135.8	127.1	124.9

Source: Company data, Nomura estimates

Company profile

Founded in 2007 and based in Beijing, SG Micro specializes in analog IC design and sales. It has two main product lines: PMIC(power management IC) and signal chain. The company has over 1900 products on sale and it competes mostly with global peers such as TI, ADI and Maxim.

Valuation Methodology

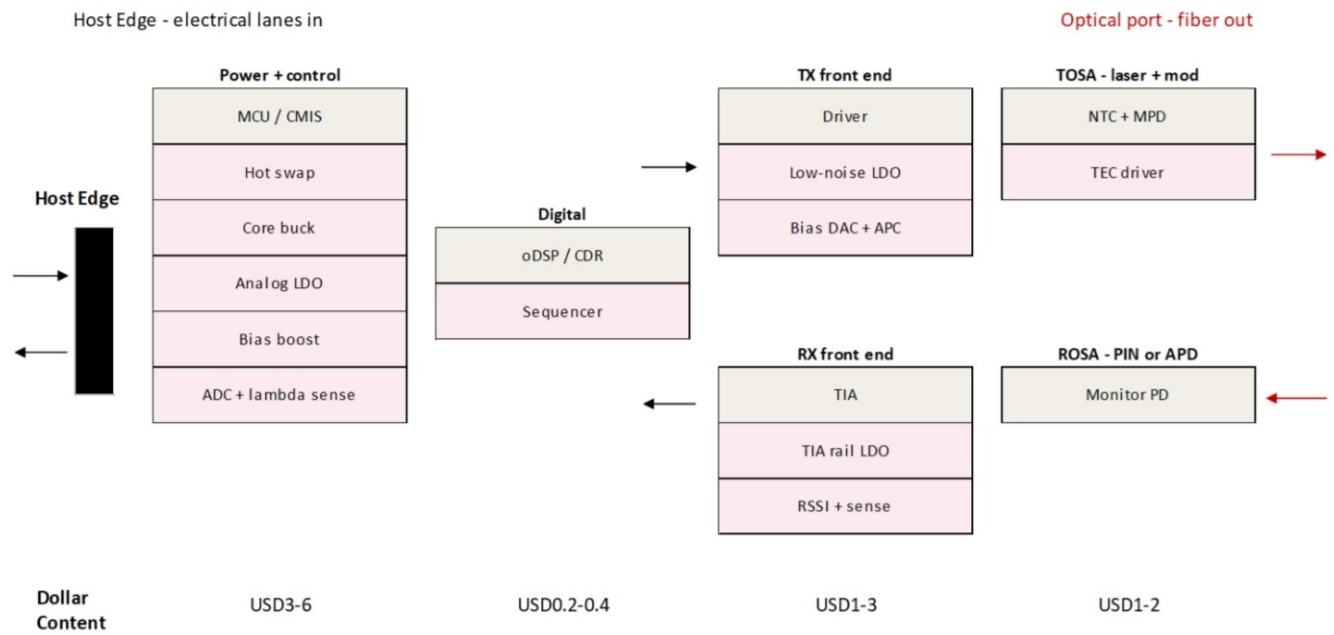
Our TP of CNY173 is based on 80x 2027F EPS of CNY2.16. Our target P/E of 80x is SG Micro's mid level of its historical P/E range of 40x-120x. We continue to use the PE valuation method for fabless companies, given their product cycle-driven earnings growth momentum. The benchmark index is SCI 300.

Risks that may impede the achievement of the target price

Major downside risks include: 1) weaker-than-expected analog IC demand; 2) rising competition causing higher ASP or gross margin erosion; 3) delays in new product launches and less than expected of new customers' project wins due to worse execution; 4) supply chain over supply, and; 5) the escalation of China-US tech tensions.

ESG

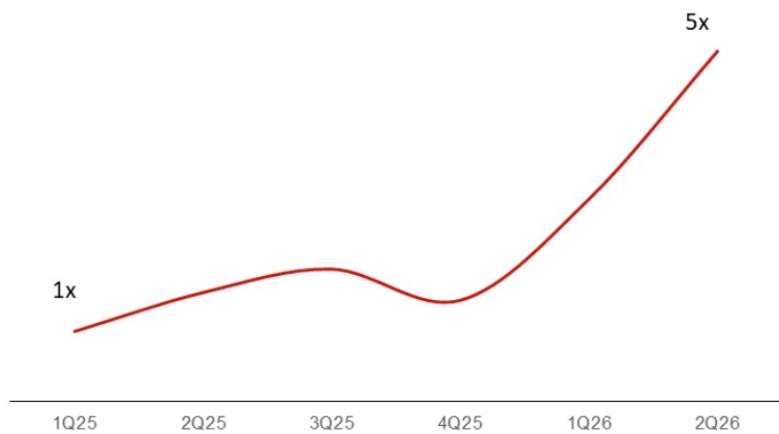
Although SG Micro does not publish ESG report annually, we think there is no specific ESG issue due to: 1) SG Micro is an IC design company, not responsible for any manufacturing, thus would not cause any impact to environment; 2) SG Micro does not have specific corporate governance issue in the history.

Fig. 1: Plan view of analog ICs in a pluggable optical transceiver

Source: Nomura estimates

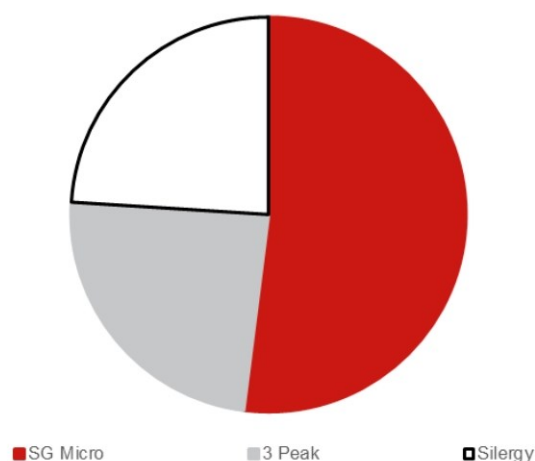
Fig. 2: SG Micro: sales related to optical transceivers

Sales related to optical module has grown 400% since 1Q25



Source: Nomura estimates

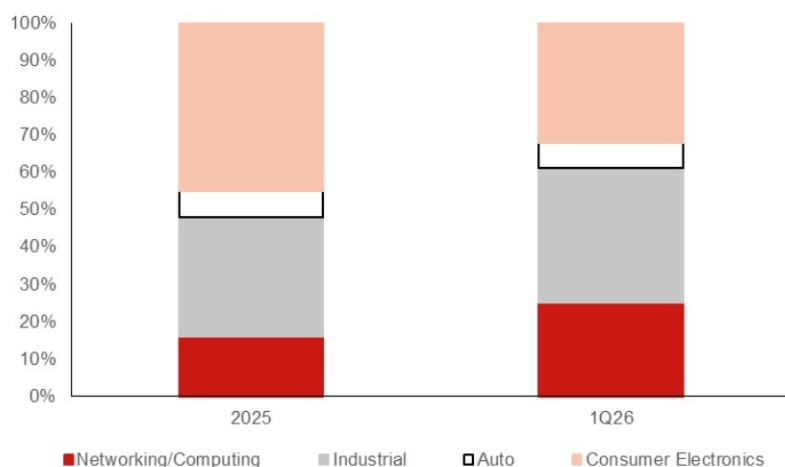
Fig. 3: Chinese analog IC market share in optical transceiver market in 1Q26F



Source: Nomura estimates

Fig. 4: SG Micro: sales breakdown by end application

Sales from consumer electronics has been rapidly decreasing in the past 1 year



Source: Company data, Nomura research

Earnings estimate revisions

We raise 2026-28F earnings forecasts as we consider the recovering analog IC cycle alongside rising demand driven by optical transceiver-related businesses. We also expect SG Micro's opex-to-sales ratio to decrease due to rising sales scale and slowed growth of R&D expense, which we believe will drive better net profit margin in the coming years.

Fig. 5: SG Micro: P&L

(CNY mn)	2021	2022	2023	2024	2025	2026F	2027F	2028F
Revenue	2238	3188	2616	3347	3898	5494	7275	9094
yoy	87%	42%	-18%	28%	16%	41%	32%	25%
COGS	996	1,307	1,318	1,624	1,912	2,650	3,509	4,387
Gross profit	1,242	1,880	1,297	1,723	1,986	2,844	3,766	4,707
yoy	113%	51%	-31%	33%	15%	43%	32%	25%
OPEX	580	889	1,040	1,223	1,442	1,811	2,143	2,350
Operating Income	662	991	258	499	543	1,033	1,622	2,357
yoy	152%	50%	-74%	94%	9%	90%	57%	45%
Pre-tax income	739	921	254	485	550	981	1,530	2,236
Tax	50	63	(16)	(6)	16	127	199	291
Net Income	699	874	281	500	547	864	1,342	1,956
yoy	142%	25%	-68%	78%	9%	58%	55%	46%
EPS (CNY)	2.98	2.45	0.60	1.06	0.89	1.41	2.19	3.19
Adjusted EPS (CNY)	1.48	1.85	0.59	1.06	0.88	1.39	2.16	3.15
Ratio Analysis								
GPM	55%	59%	50%	51%	51%	52%	52%	52%
OPM	30%	31%	10%	15%	14%	19%	22%	26%
NPM	31%	27%	11%	15%	14%	16%	18%	22%

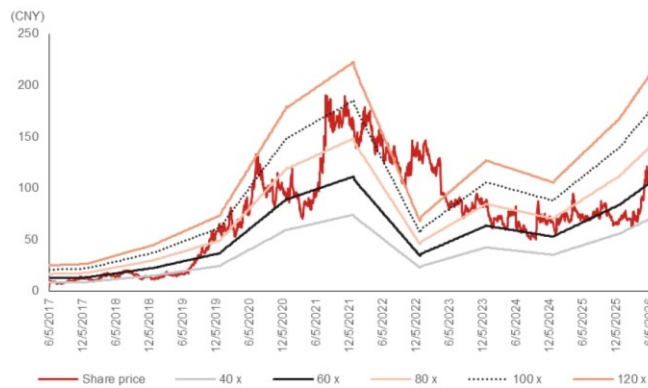
Source: Bloomberg Finance L.P., Company data, Nomura estimates

Valuation and risks

Our new TP of CNY173 is based on 80x 2027F EPS of CNY2.16 (previously: 70x 2026F EPS CNY1.29). Our target P/E of 80x is at the mid-level of its historical P/E range of 40-120x. We believe using a P/E valuation method is appropriate for fabless companies, given their product cycle-driven earnings growth momentum.

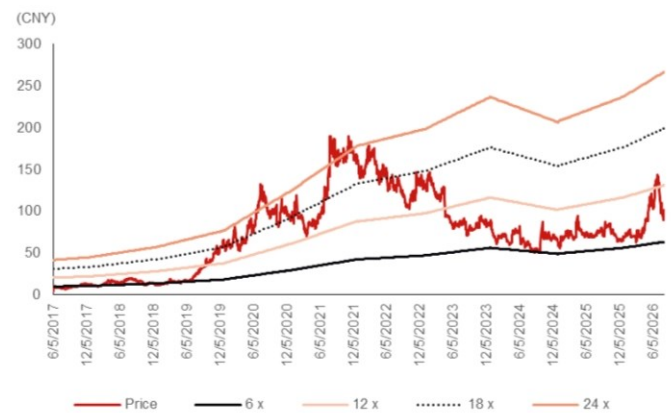
Major downside risks include: 1) weaker-than-expected analog IC demand; 2) rising competition causing higher ASP or gross margin erosion; 3) delays in new product launches and less-than-expected new customers' project wins due to poor execution; 4) supply chain oversupply; and 5) escalation of China-US tech tensions.

Fig. 6: SG Micro: P/E



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 7: SG Micro: P/B



Source: Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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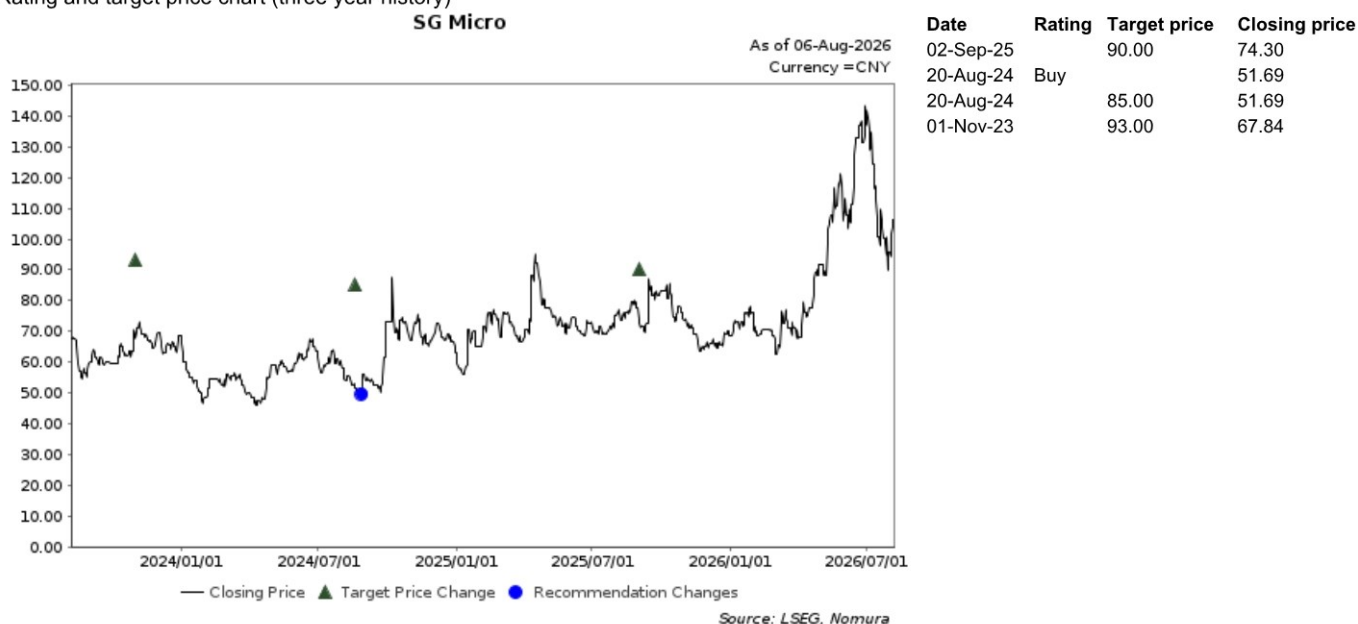
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
SG Micro	300661 CH	CNY 106.24	06-Aug-2026	Buy	N/A	

SG Micro (300661 CH)

CNY 106.24 (06-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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Risks that may impede the achievement of the target price Major downside risks include: 1) weaker-than-expected analog IC demand; 2) rising competition causing higher ASP or gross margin erosion; 3) delays in new product launches and less than expected of new customers' project wins due to worse execution; 4) supply chain over supply, and; 5) the escalation of China-US tech tensions.

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

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A rating of '**Buy**', indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of '**Neutral**', indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of '**Reduce**', indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of '**Suspended**', indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as '**Not rated**' or shown as '**No rating**' are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at:

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